

The mantra always is “few bets, big bets, infrequent bets”—all placed when the odds are overwhelmingly in your favor. The Kelly Formula is an excellent guide to figuring out how many stocks to own. A “quarter Kelly” is a good way to go. If you can get to holding 5 to 10 diverse, well-understood value stocks in your portfolio, you’re well on your way to trouncing the markets and decimating one chakravyuh after another.

Abhimanyu faced a difficult dilemma. As a valiant warrior he was left with no other choice than to enter the one formidable chakravyuh in front of him. He could not time his entry to his advantage, and with no exit plan, his unfortunate fate was sealed. We have the luxury of choosing just a handful of chakravyuhs from over 30,000 over an investing lifetime spanning several decades. Entering these carefully selected chakravyuhs at times when the soldiers are asleep all but guarantees successful traversals and big rewards.